ECONOMICS
Lecture 06
Pricing Strategies

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Pricing

- You pay rent for your apartment, tuition for your education, and a fee to your dentist or physician.
- The airline, railways, taxi and bus companies charge you a fare; the local utilities call their price a rate; and the local bank charges you interest for the money you borrow.
- The guest lecturer is paid an honorarium and the government official takes a bribe to pass a file which was his job anyway.

Price brings in the revenues

1. This is the only element in the marketing mix that brings in the revenues. All the rest are costs
2. Price communicates the value positioning of the product.

Pricing

1. A firm must set a price for the first time when It develops a new product
2. It introduces its regular product into a new distribution channel or geographical area
3. It enters bids on new contract work (as in Industrial Sale)

Pricing

A company must set its price in relation to the value delivered and perceived by the customer

Pricing

Higher price + Lower perceived value = Company misses potential profits

Pricing

Lower price + Lower perceived value = Company fails to harvest potential profits

Price = Cost + Profit

Pricing policy (Factors)

1. Selecting the pricing objective
2. Determining demand
3. Estimating costs
4. Analyzing competitors – costs, prices, offers
5. Selecting a pricing method
6. Selecting the final price

The pricing objective

The company first decides where it wants to position its market offering. The objective could be :-

1. Survival
2. Maximize current profit
3. Maximize market share
4. Maximize market skimming
5. Product – Quality Leadership

Determining Demand

1. Each price will lead to a different level of demand and have a different impact on a company's marketing objectives.
2. Demand and price are inversely related i.e. Higher the price, lower the demand Company needs to consider :-
   1. Price sensitivity
   2. Price elasticity of demand

What influences price sensitivity?

- Shared cost (part of cost is borne by other party)
- Sunk investment (product used is required as a complement to earlier purchase)
- Inventory effect (buyers can not store the product)
- Items bought more frequently (more sensitive) / infrequently(less sensitive)
- Unique value effect (quality , prestige or exclusiveness)
- Substitute awareness by buyers
- Difficult comparison by buyers
- End benefit (expenditure small part of total income)
- Total expenditure (purchase cost is insignificant compared to the cost of end product)
- Low – cost items (less sensitive) / high cost items (more sensitive)

What is price elasticity?

1. This determines the changes in demand with unit change inprice
2. If there is little or no change in demand, it is said to be ***price inelastic.***
3. If there is significant change in demand, then it is said to be ***price elastic.***

Demand is likely to be less elastic when

1. There are few or no substitutes
2. Buyers readily do not notice the higher price
3. Buyers are slow to change their buying habits
4. Buyers think that the higher prices are justified

Price Quality Strategies

quality ↑

Super value	High value	Premium
Good value	Medium value	Overcharging
Economy	False economy	Rip off

→ Price

Estimating costs

1. Fixed costs
2. Variable costs
3. Learning curve
4. Activity based costing
5. Target costing

Pricing methods

1. Markup pricing
2. Target return pricing
3. Perceived value pricing
4. Value pricing
5. Going rate pricing
6. Sealed bid pricing

Psychological pricing

1. It is used to lessen the impact of the actual pricing in the consumer's mind
2. It is used as a surrogate to indicate the product quality or esteem

New methods of Pricing

1. Group Pricing
2. Gain and Risk sharing pricing

Geographical Pricing

1. Different pricing at different locations
2. Could be in terms of barter, countertrade and foreign currency

Discounts and Allowances

1. Early payment
2. Off –season
3. Bulk purchase
4. Retail discount
5. Cash discount
6. Trade-In Allowance

Promotional Pricing

1. Loss leader pricing
2. Special event pricing
3. Cash rebate
4. Low interest financing
5. Longer payment terms
6. Warranties and service contracts
7. Psychological discounting

Discriminatory Pricing

1. Customer segment
2. Product form
3. Image pricing
4. Location pricing
5. Time pricing

Preconditions

1. Market must be segment able
2. The lower price segment should not be able to resell the product to the higher price segment
3. The competitors must not be able to undersell the firm in the higher price segment
4. Should not breed customer resentment and ill will
5. Price discrimination should not be illegal

Product Mix Pricing

1. Product line pricing
2. Optional feature pricing
3. Captive product pricing
4. Two-part pricing
5. By-Product pricing
6. Product bundling pricing

Initiating Price cuts

1. Excess plant capacity
2. Competition
3. Aggressive pricing

Initiating price increases

1. When demand exceeds supply
2. When costs go up
3. Govt. policies
4. Reduce/remove discounts and rebates

Indirect price increases

1. Shrinking pack size for same price
2. Substituting less expensive raw materials
3. Reducing product features
4. Removing product services
5. Using less expensive packaging material
6. Reducing the no. of packs and sizes offered
7. Creating new economy brands

Reaction to price changes

1. Customer reaction
2. Competitor reaction

Responding to competitor price changes

1. Maintain price
2. Maintain price and add value
3. Reduce price
4. Increase price and quality
5. Launch a Low-price fighter brand